

Brief - Saturday June 20, 2026

Headline of the Day

US-Iran Deal Reshapes Oil and Monetary Landscape.* The progressive reopening of Hormuz allows Iranian tankers to resume sailing, pushing oil down to \$76 (WTI) and \$80 (Brent). This geopolitical resolution, combined with Fed Warsh holding rates steady and a hawkish ECB surprise, creates a paradox: declining geopolitical risk partially offsets monetary tightening, keeping the S&P 500 above 7400 despite a VIX at 18.44 (+12.37%). Next week's agenda - US PMI Flash, Waller speech, and US inflation - will be decisive for the second half direction.

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Global Sentiment

Indicator	Level	Change	Signal
VIX	18.44	+12.37%	? High volatility
DXY	100.85	+0.76%	? Strong dollar
Gold	\$4,172.90	-1.21%	Correction
US 10Y	4.487%	+0.54%	Yields rising
US 30Y	4.901%	stable	? Neutral
S&P 500	7,420.10	-1.21%	Decline
NASDAQ	26,021.66	-1.34%	Tech under pressure
WTI	\$76.54	-0.08%	? Stable
Brent	\$80.59	+0.93%	? Moderate rise
BTC	\$63,559	-1.33%	Weak crypto
Copper	\$6.34	-0.59%	Industrials down
Silver	\$64.91	-2.03%	Sharp decline

* Read:** The market is caught between two opposing forces. On one hand, the resolution of the US-Iran conflict removes a substantial risk premium from oil and safe-haven assets (gold correcting -1.21%). On the other, rising bond yields (10Y at 4.487%) and VIX at 18.44 reflect still-elevated volatility from Fed trajectory uncertainty. DXY at 100.85 (+0.76%) confirms the dollar bid, fueled by favorable rate differentials and safe-haven flows despite geopolitical easing. Silver (-2.03%) underperforms sharply, victim of the double industrial-monetary press. S&P 500 holds remarkably at 7420, suggesting the market already prices a partial "soft landing" scenario.

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Macro - What Moved

United States

Fed Warsh holds rates unchanged - New Fed Chair Kevin Warsh confirmed his first meeting with a complete status quo. No "dot" published (unexpected dovish signal), creation of task forces to "overhaul" Fed operations, and first hires including a "Project 2025" author. Interpretation: Warsh is preparing a structural overhaul of the Fed, potentially toward a more transparent or targeted framework.

Wholesale prices +1.1% in May (vs +0.8% expected) - PPI accelerated on the back of the energy surge from the Iran war. Highest level in months, signaling that upstream inflation will transmit to consumer prices in coming weeks.

Job openings at 7.6M in April (vs 7.1M expected) - Highest level in nearly 2 years. Labor market remains tight despite geopolitical tensions, pushing Fed cut expectations further out. Kalshi pricing >50% probability of a hike this year - a radical consensus shift.

ADP Employment Change weekly: only 25.5K - In contrast with job openings, ADP creations are anemic. Troubling divergence: companies open positions but don't fill them. Possible freeze effect linked to Iran/Middle East uncertainty.

Consumer prices +4.2% annualized in May - 3-year high - CPI far exceeds the 2% target. With

PPI at +1.1% and energy still under pressure, Wednesday's CPI report (June 24) will be crucial.

Homeowners tapped \$47B in equity in Q1 - Record home equity withdrawal, signaling consumers are financing spending through debt rather than income. Structural fragility of the American consumer.

Fed Waller speech Monday June 22 - Waller, governor and potential Warsh successor, will be scrutinized for rate trajectory clues. His speech at 1:00 PM EST is the key monetary event of the week.

Europe

ECB hikes rates for the first time since 2023 - Major hawkish surprise. ECB justifies the hike by surging energy costs from the Iran war. Refinancing rate increases, signaling Europe can no longer afford monetary accommodation with double-digit energy inflation. Impact: growing Fed/ECB divergence, potential EUR support.

UK inflation steady at 2.8% in May - But core inflation remains above 3%. BOE holds rates at 3.75% with an implicit hawkish bias. Gilt yields jump, reflecting no cut prospects in the near term.

UK economy shrank 0.1% in April - Technical recession threatened if Q2 confirms. Iran conflict weighed on business confidence and supply chains. PM Starmer faces internal leadership challenge.

Ukraine ratifies \$105B EU loan deal - Signal of continued Western support. European markets (defense sector) react positively. UK developing low-cost long-range weapons for Ukraine without US dependency.

China

China to return as major oil buyer in August (JPMorgan) - JPMorgan anticipates a massive return of China as a petroleum importer in August, after a restocking pause. This could provide a floor for oil prices despite Iran easing.

China poaches more AI talent from the US - Beijing intensifies recruitment of American AI talent, targeting the next "super-app." Tech war that fuels the long-term AI/semiconductor investment theme.

Chow Tai Fook (Chinese jeweler) +15% - Higher gold price boosts jeweler profits, despite gold's decline this day. Market paradox: gold miners benefit from metal price volatility.

Emerging Markets

South Korea -5% - Asian markets plunge, tech heavyweights correct with Wall Street. Won weakens against strong dollar.

India hikes Gold & Silver taxes - Modi increases gold and silver taxes to protect the rupee. Interventionist measure signaling balance of payments pressure.

H5 Bird Flu spreads worldwide (Australia) - First mainland Australian case. Emerging sanitary risk, potential impact on agricultural and poultry markets.

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Geopolitics

Hot

US-Iran Deal in implementation phase - Three Iranian tankers exited the US blockade for the first time in months. JMIC (naval group) confirms ships can use the southern Hormuz route with transponders on, day and night. However, Geneva talks were "abruptly postponed" and the deal faces "early snags." Trump calls it an "unconditional surrender" by Iran (Axios).

Ukraine strikes Moscow with largest-ever drone attack - Russia vows escalation. Ukraine ratified the \$105B EU loan, consolidating Western financing. UK developing autonomous weapons for Kyiv.

Watch

G7 Summit this week - Meetings will likely address the Middle East, Ukraine, and monetary coordination. Watch for statements on the dollar and sanctions.

UK PM Starmer faces leadership challenge - UK yields climb with rising public borrowing and

political instability. A change of PM could reorient British fiscal policy.

Hormuz reopening could take weeks - Despite positive signals, full strait reopening may take weeks. Shipping costs remain high, reshaping global trade flows.

Positive

US-UAE rapprochement - The Iran war brought the US and UAE closer together, strengthening Gulf energy security and regional military cooperation.

OPEC chief dismisses IEA supply glut forecast - OPEC+ will maintain production discipline.

Nuclear stocks benefit from AI + energy demand - "Nuclear = AI energy" theme gains traction, with Roth Capital identifying opportunities.

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FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1469	+0.09%	? Neutral
GBP/USD	1.3237	+0.27%	? Resilient sterling
USD/JPY	161.27	-0.01%	? Stable
USD/CHF	0.8064	+0.19%	? Franc in demand

* Analysis:** The dollar (DXY 100.85, +0.76%) maintains its rate advantage and safe-haven status despite geopolitical easing. EUR/USD is stable at 1.15, caught between ECB hawkishness (euro bullish) and dollar strength (euro bearish). GBP/USD outperforms (+0.27%) despite UK political crisis - market already pricing a BOE hawkish pivot. USD/JPY is anchored at 161.27, reflecting no BOJ movement and still-active carry trade. CHF strengthens slightly (+0.19%), residual refuge demand.

* Pair to watch:** `EUR/USD` - Key levels: support at 1.1420 (weekly low), resistance at 1.1550. Catalyst: US CPI Wednesday. If inflation surprises to the downside, break 1.16; if it beats, test 1.14.

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Commodities

Oil

WTI: \$76.54 (-0.08%) - Despite Friday's close, WTI remains stable. Market prices the Iran deal as bearish, but anticipated Chinese demand (JPMorgan: massive return in August) provides a floor. Analyst forecasts converge to \$65-70 if the deal holds.

Brent: \$80.59 (+0.93%) - Brent outperforms WTI, reflecting still-present global risk premium. OPEC rejects glut forecasts, which supports Brent.

API Crude Oil Stock Change: -8.33M barrels - Massive US stock draw, signaling strong refinery demand or declining domestic supply.

Gold & Metals

Gold: \$4,172.90 (-1.21%) - Technical correction after the Iran surge. The metal suffers from dual effects: declining geopolitical risk (less refuge demand) AND rising yields (increased opportunity cost). Barclays sees this as a "reset" before a rebound in miners.

Silver: \$64.91 (-2.03%) - Bearish underperformance. Silver suffers more than gold due to its industrial component (electronics, solar) weighing with global slowdown. India taxes gold/silver more to protect its rupee.

Copper: \$6.34 (-0.59%) - Industrial pressure, but the AI/energy theme ("copper is the new oil") provides structural support. Blue Line Futures expects AI spending to drive copper prices long-term.

Soft

H5 Bird Flu global - Potential impact on poultry and egg prices if the epidemic spreads.

Shipping costs soar as Hormuz crisis reshapes trade - Maritime transport costs remain high,

passing through to commodity and manufactured goods prices.

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Calendar - Week of June 22-26

Monday June 22, 2026

Time (CET)	Country	Event	Previous	Impact
13:00	US	Fed Waller Speech	-	High
19:00	US	3-Month Bill Auction	3.640%	?
19:00	US	6-Month Bill Auction	3.680%	?
19:00	US	2-Year Note Auction	4.071%	?

Tuesday June 23, 2026

Time (CET)	Country	Event	Previous	Impact
15:30	US	S&P Global Manufacturing PMI	55.1	High
15:30	US	S&P Global Services PMI Flash	50.7	High
15:30	US	S&P Global Composite PMI Flash	51.5	High
15:30	US	Richmond Fed Manufacturing Index	11.3	?

Wednesday June 24, 2026

Time (CET)	Country	Event	Previous	Impact
14:30	US	CPI (inflation) - CRITICAL	+4.2% annualized	Critical
14:30	US	Core CPI	-	Critical
15:30	US	MBA Mortgage Applications	-3.8%	?

Thursday June 25, 2026

Time (CET)	Country	Event	Previous	Impact
14:30	US	Q1 GDP final	-	High
14:30	US	Initial Jobless Claims	-	?

Friday June 26, 2026

Time (CET)	Country	Event	Previous	Impact
14:30	US	PCE Inflation	-	High
16:00	US	Michigan Consumer Sentiment	-	?

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Deep Macro Theme

We are living a rare transition moment: the resolution of a major geopolitical conflict (US-Iran) coincides with unexpected monetary tightening in Europe (ECB hawkish) and a Fed reorganizing under Warsh. Current market pricing is that of a "geopolitical soft landing" - the conflict de-escalates without major escalation, allowing oil prices to recede and progressively reduce energy inflation. But this optimistic scenario ignores three structural risks.

First, US inflation at 4.2% annualized is far from defeated. Wednesday's CPI will be a decisive test: if core remains above 3.5%, the market will need to reprice a Fed hike by September, which would be a shock for risky assets currently priced with a "no hike" scenario.

Second, the ECB/Fed monetary divergence is unprecedented since 2023. The ECB tightens while the Fed pauses. This could create a flow toward the euro, weaken the dollar, and import inflation to Europe while exporting deflation to the US. DXY at 100.85 could be a cyclical peak.

Third, the American consumer shows signs of fragility: record home equity withdrawal (\$47B), household sentiment at lowest since July 2022, and ADP employment at 25.5K. If the labor market deteriorates

abruptly, the "soft landing" turns into a "hard landing" with Iran in the background.

The dominant theme of the summer will be: **"Geopolitical disinflation vs monetary tightening: who wins?"** The answer depends on this week's CPI and the next FOMC meeting.

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Consensus vs Reality - THE ALPHA

What the market is pricing:

1. **Fed does not hike in 2026** - Kalshi at >50% probability of a hike this year contradicts this consensus. The bond market (10Y at 4.487%) seems to share this view. **Verdict: Too dovish. Wednesday's CPI could change everything.**
2. **Iran deal = oil at \$65-70 - Verdict: Partially correct. China (JPMorgan: massive return in August) will provide a floor. Barrel could bottom at \$70-72, not \$65.**
3. **US soft landing** - S&P at 7420 and VIX at 18.44 suggest the market anticipates moderate growth without recession. **Verdict: Too optimistic. ADP at 25.5K + consumer fragility + inflation at 4.2% = stagflation risk.**
4. **ECB = pause after this hike - Verdict: Uncertain. If energy stays high, ECB could surprise hawkish again.**
5. **Gold = continued decline to \$4,000 - Verdict: Too bearish. Central banks continue accumulating gold (de-dollarization trend), and yields could stabilize.**

The Alpha - Trade Ideas:

1. **Long EUR/USD** - Thesis: ECB hawkish vs Fed dovish divergence = euro strength. Entry 1.1450-1.1480. Target 1.1650 (2 weeks). Invalidation: break 1.1380. Risk/Reward: 1:2.
2. **Long Oil (Call Spread WTI)** - Thesis: market underestimates Chinese demand. Barrel won't drop below \$72 as long as China hasn't finished restocking. Entry: call \$78 strike, 1-month expiry. Invalidation: break \$70 with volume.
3. **Short GBP/JPY** - Thesis: fragile sterling (UK political crisis) + JPY supported by still-active carry trade. Entry 162.50. Target 158.00. Invalidation: break 164.00.
4. **Long Gold on weakness** - Thesis: correction is a buying opportunity. Central banks are buying, yields will stabilize, and the dollar could weaken. Entry \$4,100-4,120. Target \$4,300 (1 month). Invalidation: break \$4,050.

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Merton's Take

We are at an inflection point. The resolution of the US-Iran conflict is a structural game-changer - it removes the risk premium that has supported oil, gold, and the dollar for months. But the market has gone too far in pricing the "soft landing." Inflation at 4.2% is a real problem the Fed cannot ignore, especially with job openings at 7.6M and a labor market that remains tight beneath the surface (ADP weak = hiring freeze, not destruction).

My positioning for the next 2 weeks:

Hold:* USD cash (wait for CPI clarity), long oil position (WTI \$76 is a good entry if the deal holds), and short tech/AI (semiconductors are overbought after last week's rally).

Avoid:* Long sterling (political crisis = volatility), long gold (correction not over), and long BTC (correlation with risky assets, no short-term bullish catalyst).

Trade of the week:* Buy the CPI print on Wednesday. If core CPI misses consensus (3.3% or less), S&P 500 rallies to 7550 and gold bounces to \$4,250. If CPI surprises to the upside (3.7%+), S&P breaks 7300 and VIX explodes to 22-24. My bet: CPI misses at 3.4% (core), because the energy base effect from May won't reproduce in June with oil declining. This is a moderate-risk trade with asymmetric payoff.

The key: don't be lulled by geopolitical easing. Inflation is the real enemy, and Fed Warsh hasn't shown

his cards yet. Warsh's silence on the "dot" is either dovish (no hike planned) or strategic (keeping the option). In either case, volatility next week will be high. Stay liquid, wait for CPI, then act.

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Sources Consulted

Yahoo Finance API (v8) - Real-time prices and 5d changes: S&P 500, VIX, Gold, WTI, Brent, EUR/USD, GBP/USD, USD/JPY, USD/CHF, BTC, Copper, Silver, 10Y, NASDAQ, DXY
CNBC.com - World headlines, Fed, oil, gold, economy, world-markets
Bloomberg RSS - Markets news, Economics news, Politics news
Trading Economics - US Calendar (country-specific pages, PMI Flash data, Fed speakers, bill auctions)
Oilprice.com - Energy headlines
Kalshi - Fed hike probability pricing
JPMorgan - China oil demand outlook
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Blue Line Futures - Copper outlook
Apollo Global - Gas prices & Fed inflation forecast
OPEC Secretary General - Supply statements

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